



**IN THE SUPREME COURT OF INDIA
ORIGINAL CIVIL/CRIMINAL JURISDICTION**

Writ Petition (C) No. 162 of 2023

Vishal Tiwari

...Petitioner

Versus

Union of India & Ors.

...Respondents

With

Writ Petition (Crl) No. 39 of 2023

With

Writ Petition (C) No. 201 of 2023

And with

Writ Petition (Crl) No. 57 of 2023

JUDGMENT

Dr Dhananjaya Y Chandrachud, CJI

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grounds have been pressed before the Court. Therefore, we find that the prayer seeking directions to SEBI to revoke its amendments to the FPI Regulations and LODR Regulations must fail.

30. SEBI has completed twenty-two out of the twenty-four investigations into the Adani group. It submits that the remaining two are pending due to inputs being awaited from foreign regulators. We also record the assurance given by the Solicitor General on behalf of SEBI that the investigations would be concluded expeditiously. SEBI cannot keep the investigation open-ended and indeterminate in time. Hence, SEBI shall complete the pending investigations preferably within three months.

D. The plea to transfer the investigation from SEBI to another agency or to an SIT

i. The power to transfer an investigation is exercised in extraordinary situations

31. The petitioners seek the transfer of the investigation from SEBI to the CBI or an SIT. The question that falls for decision is whether a case has been established by the petitioners for the court to issue such a direction.

32. This Court does have the power under Article 32 and Article 142 of the Constitution to transfer an investigation from the authorized agency to the CBI or constitute an SIT. However, such powers must be exercised sparingly and in extraordinary circumstances. Unless the authority statutorily entrusted with the

power to investigate portrays a glaring, willful and deliberate inaction in carrying out the investigation the court will ordinarily not supplant the authority which has been vested with the power to investigate. Such powers must not be exercised by the court in the absence of cogent justification indicative of a likely failure of justice in the absence of the exercise of the power to transfer. The petitioner must place on record strong evidence indicating that the investigating agency has portrayed inadequacy in the investigation or *prima facie* appears to be biased.

33. Recently, in **Himanshu Kumar v. State of Chhattisgarh**¹², this Court, speaking through one of us (JB Pardiwala, J) relying on a judgement of a three judge Bench of this Court in **K.V. Rajendran v. Superintendent of Police CBCID South Zone, Chennai**¹³ reiterated the principle that the power to transfer an investigation to investigating agencies such as the CBI must be invoked only in rare and exceptional cases. Further, no person can insist that the offence be investigated by a specific agency since the plea can only be that the offence be investigated properly. The Court held as follows:

“49. Elaborating on this principle, this Court further observed:

“17. ... the Court could exercise its constitutional powers for transferring an investigation from the State investigating agency to any other independent investigating agency like CBI only in rare and exceptional cases. Such as where high officials of State authorities are involved, or the accusation itself is against the top officials of the investigating agency thereby allowing them to influence the investigation, and further that it is so necessary to do justice and to

¹² 2022 SCC OnLine SC 884

¹³ (2013) 12 SCC 480

instil confidence in the investigation or where the investigation is prima facie found to be tainted/biased.”

50. The Court reiterated that an investigation may be transferred to the CBI only in “rare and exceptional cases”. One factor that courts may consider is that such transfer is “imperative” to retain “public confidence in the impartial working of the State agencies.” This observation must be read with the observations made by the Constitution Bench in the case of *Committee for Protection of Democratic Rights, West Bengal (supra)*, that mere allegations against the police do not constitute a sufficient basis to transfer the investigation.

...

52. It has been held by this Court in *CBI v. Rajesh Gandhi*, 1997 Cri LJ 63, that no one can insist that an offence be investigated by a particular agency. We fully agree with the view in the aforesaid decision. An aggrieved person can only claim that the offence he alleges be investigated properly, but he has no right to claim that it be investigated by any particular agency of his choice.

53. The principle of law that emerges from the precedents of this Court is that the power to transfer an investigation must be used “sparingly” and only “in exceptional circumstances”. In assessing the plea urged by the petitioner that the investigation must be transferred to the CBI, we are guided by the parameters laid down by this Court for the exercise of that extraordinary power.”

(emphasis supplied)

34. Given the above position of law, the question that arises before the Court is whether, in the facts of the present case, the transfer of investigation from SEBI to another agency is warranted.

ii. SEBI has *prime facie* conducted a comprehensive investigation

35. As noted above, out of the twenty-four investigations carried out by SEBI, twenty-two are concluded. Twenty-two final investigation reports and one interim investigation report have been approved by the competent authority

under SEBI's procedures. With respect to the interim investigation reports SEBI has submitted that it has sought information from external agencies/entities and upon receipt of such information will determine the future course of action.

36. Further, in its status report, SEBI has provided the current status of each of the investigations conducted by it and the reasons for interim findings in two of the investigations. SEBI has also provided details such as the number of emails issued, summons for personal appearance, pages of documents examined, statements recorded on oath, etc. for each investigation. An overview of twenty-four investigations conducted by SEBI is as follows:

Sr. No.	Issues	No. of Investigations
1	Minimum Public Shareholding- alleged violation of Rule 19A of Securities Contracts (Regulation) Rules, 1957	1
2	Alleged manipulation of stock prices in contravention of existing laws	2
3	Alleged related Party Transactions (RPT)-Failure to disclose transactions with Related Parties and other relevant information	13
4	Other Issues: (A) Possible violation of SEBI (Foreign Portfolio Investors) Regulations, 2014 and 2019 (B) Possible violation of SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011 (C) Trading-Pre-post Hindenburg Report (D) Possible violation of SEBI (Prohibition of Insider Trading) Regulations, 2015	1 1 1 5
Total		24

SEBI's status report and the details of the twenty-four investigations does not indicate inaction by SEBI. In fact, to the contrary, the course of conduct by SEBI inspires confidence that SEBI is conducting a comprehensive investigation.

37. The petitioners have also raised questions about the delay by SEBI in submitting the status report before this Court. As noted earlier, by an order dated 2 March 2023, this Court directed SEBI to conclude its investigation within two months and file a status report before this Court. This Court by its order dated 17 May 2023, granted SEBI an extension of time till 14 August 2023 to submit its status report about its investigation. Eventually, SEBI filed an interlocutory application intimating this Court about the status of the twenty-four investigations undertaken by SEBI on 14 August 2023. SEBI submitted a status report dated 25 August 2023 providing comprehensive details about all the investigations carried out by SEBI. Therefore, there is a delay of only ten days in filing the report. Such a delay does not *prima facie* indicate deliberate inaction by SEBI, particularly, as the issue involved a complex investigation in coordination with various agencies, both domestic and foreign.

38. Further, as noted in part C of this judgment, no apparent regulatory failure can be attributed to SEBI based on the material before this Court. Therefore, there is *prima facie* no deliberate inaction or inadequacy in the investigation by SEBI.

G. Conclusion

67. In a nutshell, the conclusions reached in this judgement are summarized below:

- a. The power of this Court to enter the regulatory domain of SEBI in framing delegated legislation is limited. The court must refrain from substituting its own wisdom over the regulatory policies of SEBI. The scope of judicial review when examining a policy framed by a specialized regulator is to scrutinise whether it violates fundamental rights, any provision of the Constitution, any statutory provision or is manifestly arbitrary;
- b. No valid grounds have been raised for this Court to direct SEBI to revoke its amendments to the FPI Regulations and the LODR Regulations which were made in exercise of its delegated legislative power. The procedure followed in arriving at the current shape of the regulations does not suffer from irregularity or illegality. The FPI Regulations and LODR Regulations have been tightened by the amendments in question;
- c. SEBI has completed twenty-two out of the twenty-four investigations into the allegations levelled against the Adani group. Noting the assurance given by the Solicitor General on behalf of SEBI we direct SEBI to complete the two pending investigations expeditiously preferably within three months;
- d. This Court has not interfered with the outcome of the investigations by SEBI. SEBI should take its investigations to their logical conclusion in accordance with law;

e. The facts of this case do not warrant a transfer of investigation from SEBI.

In an appropriate case, this Court does have the power to transfer an investigation being carried out by the authorized agency to an SIT or CBI. Such a power is exercised in extraordinary circumstances when the competent authority portrays a glaring, willful and deliberate inaction in carrying out the investigation. The threshold for the transfer of investigation has not been demonstrated to exist;

f. The reliance placed by the petitioner on the OCCPR report to suggest that SEBI was lackadaisical in conducting the investigation is rejected. A report by a third-party organization without any attempt to verify the authenticity of its allegations cannot be regarded as conclusive proof. Further, the petitioner's reliance on the letter by the DRI is misconceived as the issue has already been settled by concurrent findings of DRI's Additional Director General, the CESTAT and this Court;

g. The allegations of conflict of interest against members of the Expert Committee are unsubstantiated and are rejected;

h. The Union Government and SEBI shall constructively consider the suggestions of the Expert Committee in its report detailed in Part F of the judgment. These may be treated as a non-exhaustive list of recommendations and the Government of India and SEBI will peruse the report of the Expert Committee and take any further actions as are

necessary to strengthen the regulatory framework, protect investors and ensure the orderly functioning of the securities market; and

- i. SEBI and the investigative agencies of the Union Government shall probe into whether the loss suffered by Indian investors due to the conduct of Hindenburg Research and any other entities in taking short positions involved any infraction of the law and if so, suitable action shall be taken.

68. Before concluding, we must observe that public interest jurisprudence under Article 32 of the Constitution was expanded by this Court to secure access to justice and provide ordinary citizens with the opportunity to highlight legitimate causes before this Court. It has served as a tool to secure justice and ensure accountability on many occasions, where ordinary citizens have approached the Court with well-researched petitions that highlight a clear cause of action. However, petitions that lack adequate research and rely on unverified and unrelated material tend to, in fact, be counterproductive. This word of caution must be kept in mind by lawyers and members of civil society alike.

69. We are grateful to all the members and the Chairperson of the Expert Committee for their time, efforts, and dedication in preparing their erudite, comprehensive, and detailed report in a time-bound manner. Subject to the consent and availability of the members and Chairperson of the Expert Committee, SEBI and the Government of India may draw upon their expertise and knowledge while taking necessary measures pursuant to the recommendations of the Committee.

70. The Petitions shall accordingly stand disposed of in the above terms.

71. Pending applications, if any, stand disposed of.

.....CJI.
[Dr Dhananjaya Y Chandrachud]

.....J.
[J B Pardiwala]

.....J.
[Manoj Misra]

**New Delhi;
January 03, 2024**